

It just fit my personality. I enjoyed the observation part of it. I am the guy who sits in front of the screen every trading day of the year and watches all the markets change. That is just what works for me. You're seeing things, and the wheels of your subconscious are spinning. Whether you recognize it right away or not, your mind is working out these patterns for you. Trading gets so ingrained in your psyche that it becomes second nature like driving a car. Sometimes you look at a chart and just know what to do without thinking about it.

**How much do you risk on a single trade?**

Typically, about 10 basis points of assets under management, but I may get out even more quickly. Some people can put on a trade, risk some specified percentage loss, and then give it months to work. I can't do that. If I put on a trade today, and it's not working by the end of the day, I'm out. I don't want to take any more risk. I might get back into it tomorrow at a worse price, but that is a premium I'm willing to pay to see the market acting the way I think it should be.

**Do you literally mean to imply that if you are behind on a trade the first day, you get out?**

Yes, 90 percent of the time. That's my personality. I am a chicken when it comes to taking risks.

**If you get out if you are behind on the first day, presumably, you would also get out if you were behind on the trade on any subsequent day. Using such a tight exit condition, it sounds like you would be stopped out of a large percentage of your trades.**

I might lose 10 times on an idea, until the 11th time when it works. If I then get the move I thought I was going to get, it will then more than make up for all the little losses. To me, the most important thing is to control the downside. Rigorous risk control is not only important in keeping losses small, but it also impacts profit potential. You have to put yourself in the position to be able to take advantage of opportunities. The only way you can do that is to have a clear mind. If you have trades that are not working, and your mental energy is going toward damage control, you can't think clearly about opportunities in the market.